Jiangsu Hengli Hydraulic - A

1Q26 briefing takeaways: growth acceleration and new drivers in focus; stay OW

Overweight

601100.SS, 601100 CH

Price: Rmb104.52

28 Apr 2026

Price Target: Rmb121.00

PT End Date: 30 Jun 2027

Infrastructure, Industrials & Transport

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Following the release of 1Q26 results, Hengli's management provided incremental color on the drivers behind the record quarter and updated its outlook for 2026. Management highlighted that both domestic and overseas markets continued to recover, with overseas sales up 26% Y/Y and export revenue now approaching 30% of the total. It noted that the company's reported overseas growth slightly lagged industry data due to statistical differences, but actual performance — including indirect exports — remains in line or ahead of the sector. Management also emphasized that the margin drag from new businesses, particularly Mexico and FA ball screw, was c.0.7ppts in 1Q26 but is expected to ease as utilization improves and both businesses move toward breakeven in FY27. The company is pacing new equipment investment over the next 1-2 years, with Mexico focused on robotics-related capacity and FA ball screw targeting incremental upgrades to support future growth.

Management provided additional detail on the ramp-up of new business lines, confirming that the robotics business remains on track for mass production of key components around July 2026, with supporting parts advancing in parallel. The FA ball screw business and Mexico factory both saw significant revenue improvement Q/Q, though fixed costs and depreciation continue to weigh on margins in the near term. Management expects North American customer orders to scale in 2H26 and into 2027, with Mexico and Indonesia factories supporting global expansion. For the rest of 2026, management guided for a tight production schedule, minimal holiday downtime, and continued reliance on technical upgrades and incremental workforce expansion rather than large-scale capex. The company reiterated its long-term goal of overseas revenue exceeding 40% of total sales, and remains focused on high-growth, high-margin opportunities in hydraulics, robotics, and international markets. We maintain OW, as management's disciplined execution and positive tone on new business drivers reinforce our constructive view.

- **Traditional hydraulic component business delivered robust growth in 1Q26, with continued breakthroughs among large international customers and strong market share gains.** Management reported that Hengli's traditional business saw strong momentum in 1Q26, with excavator cylinder sales volume exceeding 200,000 units (+38% Y/Y) and revenue reaching Rmb780MM. Non-standard cylinders experienced a slight margin dip, mainly due to scale effects in shield tunneling and aerial work platforms, but overall sales remained healthy. Pumps and valves were a standout, with sales of mid-sized excavator valves up over 40% and large-sized valves up c35%, while mid-sized excavator pumps grew 69% and large-sized pumps 58%. Excavator motor products, including swing motors, posted growth above 56%. The company

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continues to expand its large customer base, particularly among international OEMs, with export revenue now approaching 30% of the total. Management emphasized that ongoing technical upgrades and targeted capacity expansion are ensuring flexibility and efficiency as demand rises.

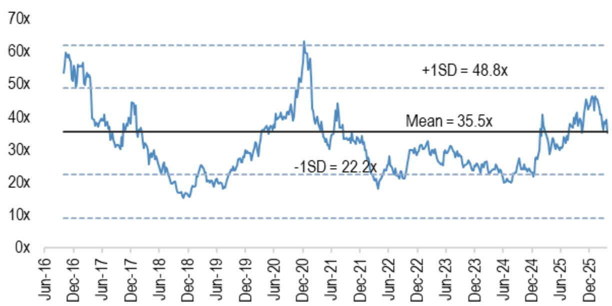
- **New business initiatives are entering a critical ramp-up phase, with Mexico and FA ball screw businesses showing sequential improvement and a clear path toward breakeven.** Management highlighted that both the Mexico factory and FA ball screw business are in a key investment and ramp-up period. The FA ball screw business reported a 1Q26 loss of Rmb20MM, flat Y/Y, but revenue surged to over Rmb48MM from Rmb4MM in 1Q25, reflecting rapid operational normalization post-CNY and strong sequential improvement. The Mexico factory recorded a 1Q26 loss of Rmb60MM, mainly due to high fixed asset depreciation and inventory impairment, but management expects losses to narrow as revenue scales. Both businesses are expected to move toward breakeven in FY27, with FA ball screw targeting Rmb500-600MM in sales for FY26 and Mexico's margin turning positive as annual revenue approaches Rmb600-800MM. The gross margin drag from these new businesses was c.0.7ppts at the group level in 1Q26, but this is expected to ease as utilization improves. Investment in new equipment will be paced over the next 1-2 years, with Mexico focusing on robotics-related capacity and FA ball screw business focusing on incremental upgrades to support future growth.

- **Robotics business is on track for mass production, with management confident in scaling up and capturing market share as the segment matures.** Hengli's robotics business continues to progress smoothly, with regular communication and project milestones achieved throughout 2025 and in 1Q26. Management expects the company to commence mass production of key robotic components around July 2026, in line with earlier guidance. Several supporting parts are also advancing in parallel, and management remains confident in Hengli's ability to capture market share as the robotics segment transitions from pilot to scale production. The company's technical leadership and close collaboration with leading OEMs are expected to drive incremental growth as the robotics business ramps up in the second half of the year.

- **Disciplined FX management and hedging strategy help mitigate industry-wide volatility, supporting long-term profitability.** Management reiterated Hengli's disciplined approach to FX management, noting that FX volatility remains an industry-wide headwind. The company utilizes hedging to lock in fixed returns and avoids short-term conversion of USD cash holdings, preferring to retain USD exposure given less attractive RMB deposit rates and the operational challenges of reconverting RMB to USD. Hengli also continues to use swap products to enhance returns, with fair value changes largely accounting-based and not expected to materially impact long-term profitability. This approach is designed to support stable cash flow and protect underlying earnings from currency swings.

- **Management expects a tight production schedule and further margin improvement as new business lines and overseas factories ramp up through 2026.** Looking ahead, management expects a tight production schedule in 2Q26, with full order books and minimal holiday downtime. The company will continue to rely on technical upgrades and incremental workforce expansion to meet robust demand, rather than large-scale capex. As new business lines and overseas factories ramp up, margin drag is expected to diminish, and both the FA ball screw business and Mexico factory are on track for significant revenue growth and narrowing losses. Traditional segments remain well supported by strong end-market demand, ongoing customer expansion, and product innovation. Management remains focused on high-growth, high-margin opportunities in hydraulics, robotics, and international markets, targeting a further increase in overseas revenue share with a long-term goal of 40% and sustained outperformance through FY26.

Figure 1: Hengli: Historical P/E valuation



Source: Company data, Bloomberg Finance L.P.

Investment Thesis

Hengli Hydraulic (Hengli) is a leading supplier of excavator hydraulic cylinders in China, with a market share exceeding 40% and a strong position in the pumps and valves market. The company is well positioned to leverage its leadership in the domestic cylinder market, in our view, with opportunities for further market share gains in segments with relatively low penetration, such as larger-sized excavator cylinders, valves and pumps. Hengli has strategically prioritized business diversification since 2022 to reduce its reliance on excavator products and supply chain concentration within China. The company's expansion into linear motion products, particularly in the humanoid robot and machine tool segments, is expected to contribute to revenue. This aligns with Hengli's strategy to tap into high-growth areas and capitalize on the increasing demand for precision components in advanced manufacturing processes.

Valuation

Our DCF-based Jun-27 PT is Rmb121. The WACC rate used in our DCF analysis is 8.4%, with assumptions as follows: risk-free rate: 3.0%; market risk premium: 6.8%; Beta: 1.0x (based on Bloomberg); after-tax cost of debt: 4.3%; terminal growth: 5%; and target gearing: 25%.

Risks to Rating and Price Target

Key downside risks include: (1) lower-than-expected excavator sales volumes; (2) slower-than-expected market share gains for pumps and valves; (3) a deterioration in GP margin; and (4) escalating trade tensions and higher-than-expected tariffs for China's products.

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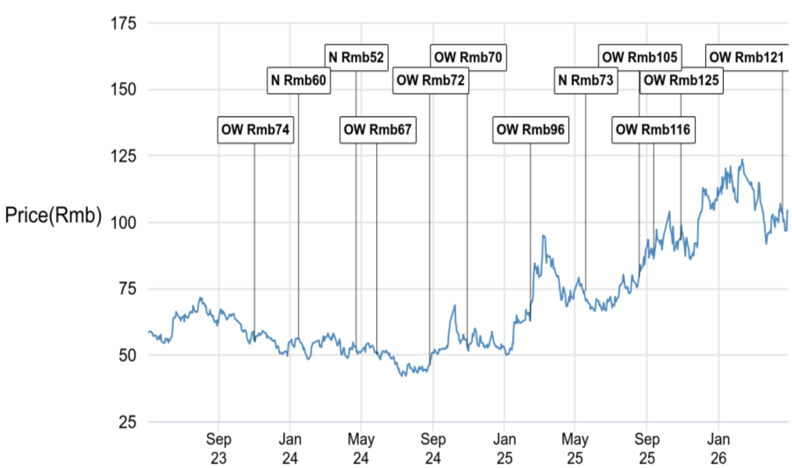

Date	Rating	Price (Rmb)	Price Target (Rmb)
02-Nov-23	OW	55.38	74
15-Jan-24	N	56.25	60
23-Apr-24	N	52.93	52
29-May-24	OW	50.43	67
27-Aug-24	OW	46.48	72
30-Oct-24	OW	53.00	70
14-Feb-25	OW	62.95	96
19-May-25	N	74.20	73
19-Aug-25	OW	79.50	105
12-Sep-25	OW	89.75	116
29-Oct-25	OW	93.45	125
21-Apr-26	OW	103.32	121

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jan 15, 2019. All share prices are as of market close on the previous business day.

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